

Alphabet Inc.

GOOGL NASDAQ

Buy	\$348.04 ▲ 0.49%	12M Price Target \$385.00	52-Week Range \$196.60 – \$408.61	Market Cap \$4.26T
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GOOGL: Cooling Off After Rally, But AI Moat Intact

WHAT HAPPENED

- GOOGL is basically flat this morning (\$348, +0.5%) after a rough Monday-Tuesday where it dropped ~4% from \$357 to \$343. The market's digesting two things: Google raised cloud prices citing a memory chip shortage (that's a margin positive but a demand-signal negative), and Gemini launched an AI doctor-booking integration with Zocdoc — expanding the healthcare AI footprint.
- The volume today is unusually thin (~2.4M vs 18-29M all week), which just means it's a sleepy Friday in August, not a real signal.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- DOJ antitrust remedy comes in harsher than expected — if they force any structural separation (Chrome, ad-tech), the sum-of-the-parts math gets ugly fast.
- Cloud growth deceleration — if AWS or Azure start eating GOOGL's share in enterprise AI workloads, the multiple compresses hard because Cloud is the growth story.
- The non-obvious one: Gemini becoming "too good" at answering queries directly could cannibalize the core Search ad business faster than YouTube and Cloud can offset it. That's the internal tension nobody's pricing in.

IN THE NEWS

Gemini & Zocdoc launch AI doctor booking Yahoo Finance Video · 2026-08-13 19:59

Google becomes latest company to raise prices thanks to memory shortage Yahoo Finance · 2026-08-13 15:10

I Keep Buying Alphabet Because Leadership Understands One Thing Far Better Than Other Hype... 24/7 Wall St. · 2026-08-14 13:33

5 Revealing Analyst Questions From Taboola's Q2 Earnings Call StockStory · 2026-08-14 13:33

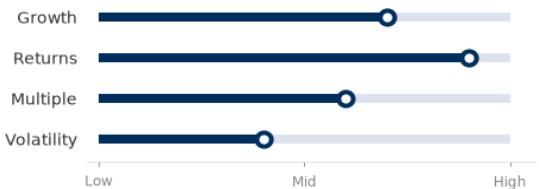
Reddit Gains 12% by Joining the S&P 500 GuruFocus.com · 2026-08-14 13:02

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$348.04
12M Price Target	\$385.00
Upside / (Downside)	+10.6%
Market Cap	\$4.26T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	35.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$370.00	\$352.00	\$325.00
6 Months	\$410.00	\$375.00	\$310.00
1 Year	\$450.00	\$385.00	\$290.00
2 Years	\$525.00	\$430.00	\$275.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.2% in 5 days) is ripping — likely a mix of geopolitical premium and AI-datacenter power demand. Utilities also firm, which is the "AI needs electricity" trade playing out.

COOLING OFF: Consumer Discretionary is the only red sector on 5-day (-0.9%) — suggests the consumer is getting tired, which is a background worry for GOOGL's ad revenue.

ROTATION WATCH: Money is quietly rotating from high-flying tech into energy/utilities as the "picks and shovels" AI infrastructure trade broadens out. That's why GOOGL is chopping — capital is diversifying within the AI theme, not exiting it.

RELATED PLAY: If you believe the AI power-demand thesis, the second-order winners are nuclear (VST, CEG) and grid infrastructure (GEV) — those benefit whether GOOGL, MSFT, or META wins the AI race.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Ad-tech beast with less antitrust overhang and cleaner AI narrative — Reels + Llama monetization is working.
- MSFT (Microsoft): Copilot revenue is showing up in the numbers now; enterprise AI adoption is running ahead of GOOGL's Workspace AI.

GOOGL CONTEXT: GOOGL has actually been leading MSFT and META year-to-date off the lows, but it's giving back some relative strength this month. That's not a rejection — it's rotation within the mega-cap AI leaders, and GOOGL's Waymo optionality is a differentiator none of the others have.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Strong hand, not pounding the table. The business is executing, the antitrust cloud is lifting, but the stock has already run a lot.

POSITION SIZE: 5-8% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough to add on dips.

ENTRY POINTS: I'd nibble at \$340 and back up the truck at \$325 if we get a broader market pullback. Chasing \$360+ here doesn't offer great risk/reward.

TIME HORIZON: 12-24 months. The catalysts I'm waiting for are the DOJ remedy finalization and two more quarters of Cloud growth confirmation.

WHEN TO BAIL: If Cloud growth prints below 20% for two consecutive quarters, or if the DOJ forces a Chrome/Android divestiture, I'm cutting the position in half.

HEDGING: Simplest hedge — if you own \$10K of GOOGL, spend \$200-300 on a Sept or Oct put option roughly 5% below current price. Think of it as insurance on your car — you hope you never use it, but sleep better knowing it's there.